

# Cholamandalam Investment & Finance Company Ltd

CHOLAFIN · Financials

ROE

17.5%

ROCE

3.4%

Net Profit Margin

17.8%

Debt-to-Equity

6.86

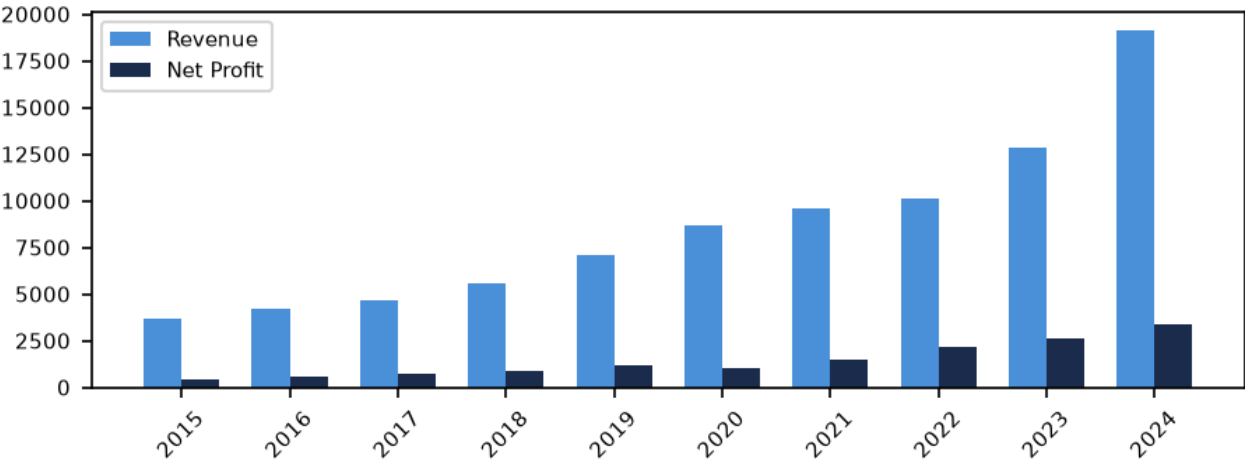
Revenue CAGR (5yr)

21.9%

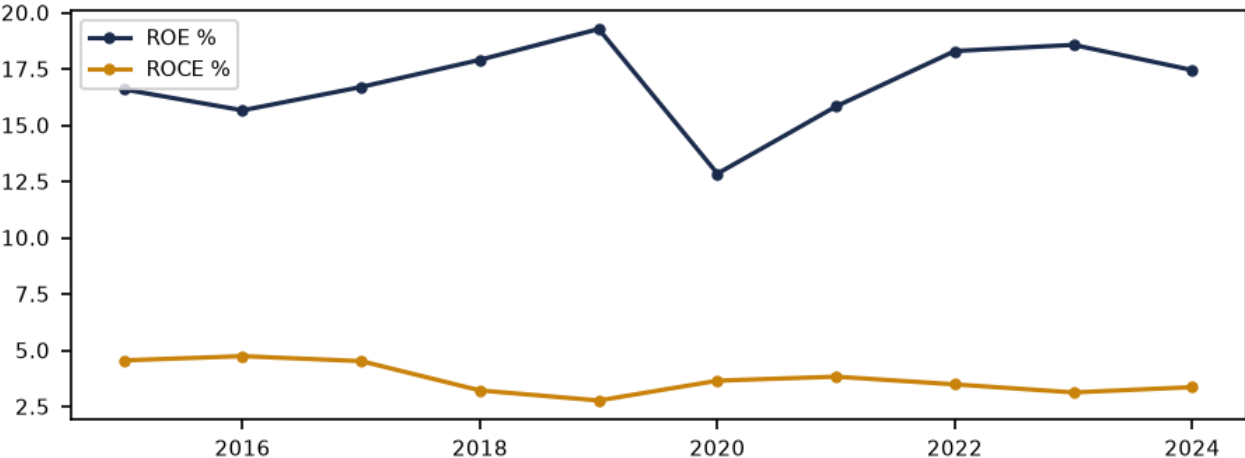
Free Cash Flow

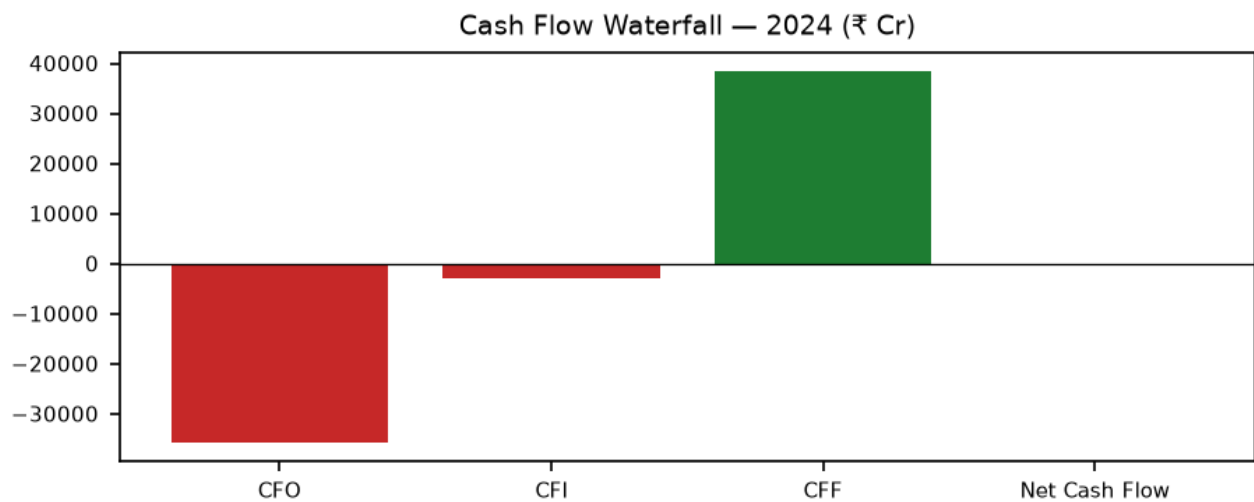
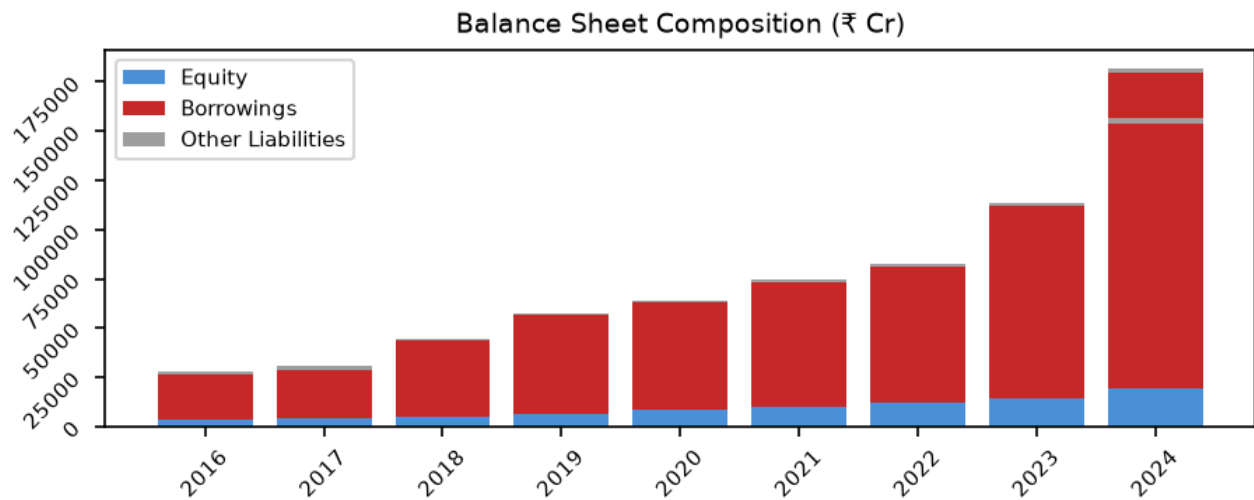
■ -38,538 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





### Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

### Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Distress